

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 30 September 2018



	GROUP					BANK				
	30-Sep-18 KSHS. '000	30-Jun-18 KSHS. '000	31-Mar-18 KSHS. '000	31-Dec-17 KSHS. '000	30-Sep-17 KSHS. '000	30-Sep-18 KSHS. '000	30-Jun-18 KSHS. '000	31-Mar-18 KSHS. '000	31-Dec-17 KSHS. '000	30-Sep-17 KSHS. '000
	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	Audited	(Un-audited)
I STATEMENT OF FINANCIAL POSITION										
A ASSETS										
1 Cash (local and foreign)	5,787,174	6,513,169	7,757,164	8,387,452	5,935,454	5,242,488	6,110,657	7,357,678	7,715,294	5,598,846
2 Balances due from Central Bank Of Kenya	17,535,439	16,709,620	15,392,322	15,872,744	18,165,922	17,535,439	16,709,620	15,392,322	14,826,206	16,902,535
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	151	748,935	639,952	149	-	151	150	150	149
5.a.a Investment Securities: Held to Maturity- Kenya Government Securities	51,291,702	51,716,232	49,216,079	43,983,288	46,468,771	51,135,122	51,559,860	49,059,913	43,827,326	46,312,993
5.a.b Investment Securities: Held to Maturity- Other Securities	-	-	-	-	-	-	-	-	-	-
5.b.a Investment Securities: Available for sale- Kenya Government Securities	31,955,850	28,468,170	25,743,082	25,256,482	21,621,128	31,922,250	28,431,370	25,702,282	25,256,482	21,578,328
5.b.b Investment Securities: Available for Sale- Other Securities	2,564,188	2,944,295	3,118,066	3,442,283	3,099,261	2,564,188	2,944,295	3,118,066	3,259,183	3,099,261
6 Deposits and balances due from local banking institutions	2,870,721	3,397,345	718,200	27,382	910,865	1,867,703	2,500,655	537,298	61,650	309,980
7 Deposits and balances due from banking institutions abroad	13,621,313	10,055,747	15,305,843	7,702,972	11,124,494	11,614,740	8,296,135	13,945,101	7,678,182	11,011,755
8 Tax recoverable	16,444	67,128	18,971	156,695	23,536	-	49,849	-	207,583	-
9 Loans and advances to customers (net)	254,206,736	251,110,256	252,825,045	253,861,644	259,389,953	252,258,336	249,279,734	251,218,576	252,361,773	258,142,389
10 Balances due from banking institutions in the group	-	-	-	-	-	-	-	-	-	-
11 Investments in associates	2,262,956	2,272,335	2,214,296	2,143,347	2,435,514	755,118	755,118	755,118	755,118	755,118
12 Investments in subsidiary companies	-	-	-	-	-	2,512,920	2,512,920	2,512,920	2,512,920	2,542,929
13 Investment in joint ventures	-	-	-	-	-	-	-	-	-	-
14 Investment in properties	-	-	-	-	-	-	-	-	-	-
15 Property, plant and equipment	6,886,353	6,959,656	7,138,135	7,493,574	7,637,282	6,778,205	6,795,353	7,017,605	6,811,963	7,506,703
16 Prepaid lease rentals	36,964	36,964	36,964	35,742	37,570	36,964	36,964	36,964	35,742	37,570
17 Intangible assets	1,336,327	1,323,922	1,277,445	2,018,875	1,316,711	1,288,680	1,272,161	1,221,569	1,605,973	1,159,108
18 Deferred tax asset	1,104,235	1,104,235	1,107,323	967,124	1,212,222	1,081,823	1,081,823	1,084,911	1,081,823	1,195,912
19 Retirement benefit asset	-	-	-	-	-	-	-	-	-	-
20 Other assets	12,676,487	15,747,772	15,175,553	14,868,101	8,920,561	12,020,979	15,090,828	14,465,505	14,832,273	8,311,394
21 TOTAL ASSETS	404,152,889	398,426,995	397,793,423	386,857,657	388,299,393	398,614,957	393,427,494	393,425,978	382,829,640	384,464,971
B LIABILITIES										
22 Balances due to Central Bank Of Kenya	-	-	-	3,992,240	-	-	-	-	3,992,240	-
23 Customer deposits	296,084,279	296,964,959	295,883,527	287,371,708	288,964,029	293,838,520	294,721,240	294,063,823	285,566,236	287,165,775
24 Deposits and balances due to local banking institutions	1,023,049	777,354	3,935,535	373,464	645,666	1,023,049	777,354	3,935,535	423,701	645,666
25 Deposits and balances due to banking institutions abroad	497,395	416,421	111,410	-	580,713	497,395	416,421	111,410	-	580,713
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	25,981,412	20,425,852	20,654,136	21,163,814	27,989,100	25,981,412	20,425,852	20,654,136	21,163,814	27,989,100
28 Balances due to banking institutions in the group	-	-	-	-	-	-	-	-	-	-
29 Tax payable	44,530	801	1,201,254	-	134,894	37,944	-	1,101,206	-	90,590
30 Dividends payable	-	-	-	-	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-
33 Other liabilities	8,820,843	11,053,800	7,318,497	3,663,481	2,823,816	7,801,213	10,335,739	6,545,996	3,456,505	2,048,703
34 TOTAL LIABILITIES	332,451,508	329,639,186	329,104,359	316,564,707	321,138,218	329,179,532	326,676,606	326,412,107	314,602,495	318,520,547
C SHAREHOLDERS' FUNDS										
35 Paid up/Assigned capital	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180	5,867,180
36 Share premium/(discount)	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925	1,911,925
37 Revaluation reserve	1,241,681	1,241,681	1,227,293	1,296,499	1,256,443	1,227,293	1,227,293	1,227,293	1,227,293	1,256,443
38 Retained earnings/ Accumulated losses	62,500,219	59,404,623	55,914,361	55,329,786	58,688,130	59,731,887	56,731,944	53,255,250	53,954,407	56,102,882
39 Statutory Loan Loss Reserve	-	-	717,844	717,844	-	-	-	-	717,844	717,844
40 Other Reserves	(1,101,136)	(878,255)	(2,142,969)	(733,149)	(1,593,608)	230,631	541,419	(417,268)	(625,614)	(401,453)
41 Proposed dividends	-	-	4,693,744	4,693,744	-	-	-	4,693,744	4,693,744	-
42 Capital grants	466,509	471,128	475,747	480,365	489,603	466,509	471,128	475,747	480,365	489,603
43 TOTAL SHAREHOLDERS' FUNDS	70,886,378	68,018,281	67,947,281	69,564,967	67,337,517	69,435,424	66,750,889	67,013,872	68,227,145	65,944,424
43.1 Non-Controlling Interest	815,004	769,528	741,783	727,983	(176,342)	-	-	-	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	404,152,889	398,426,995	397,793,423	386,857,657	388,299,393	398,614,957	393,427,494	393,425,978	382,829,640	384,464,971

II	STATEMENT OF COMPREHENSIVE INCOME	GROUP					BANK				
		30-Sep-18 KSHS.'000	30-Jun-18 KSHS.'000	31-Mar-18 KSHS.'000	31-Dec-17 KSHS.'000	30-Sep-17 KSHS.'000	30-Sep-18 KSHS.'000	30-Jun-18 KSHS.'000	31-Mar-18 KSHS.'000	31-Dec-17 KSHS.'000	30-Sep-17 KSHS.'000
		(Un-audited)	(Un-audited)	(Un-audited)		(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)		(Un-audited)
1.0	INTEREST INCOME										
1.1	Loans and advances	23,111,144	16,132,752	8,350,437	51,942,067	23,283,760	23,202,620	15,961,713	8,273,218	51,744,399	23,463,920
1.2	Government securities	6,948,603	4,548,123	1,996,143	8,213,551	6,120,500	6,934,654	4,539,345	1,981,744	8,196,148	6,084,512
1.3	Deposits and placements with banking institutions	171,878	98,819	32,333	217,570	148,563	129,009	71,266	32,333	173,122	148,563
1.1	Other Interest Income	-	-	4,846	-	-	-	-	-	-	-
1.5	Total Interest Income	30,891,625	20,779,695	10,383,759	40,373,188	29,852,823	30,566,283	20,572,323	10,287,296	40,093,669	29,696,995
2.0	INTEREST EXPENSE										
2.1	Customer deposits	8,215,325	5,364,583	2,656,616	10,846,272	8,088,929	8,187,698	5,344,734	2,656,553	10,809,754	8,069,460
2.2	Deposits and placements from banking institutions	47,721	28,406	17,849	226,222	82,141	47,721	28,406	17,849	226,222	82,141
2.3	Other Interest Expenses	885,239	572,795	299,791	1,196,725	912,735	885,239	572,795	291,778	1,196,725	912,735
2.4	Total Interest Expenses	9,148,286	5,965,784	2,974,255	12,269,219	9,083,805	9,120,658	5,945,934	2,966,180	12,232,701	9,064,337
3	NET INTEREST INCOME/(LOSS)	21,743,340	14,813,911	7,409,504	28,103,969	20,769,018	21,445,626	14,626,389	7,321,116	27,860,968	20,632,658
4	NON- INTEREST INCOME										
4.1	Fees and commissions on loans and advances	1,303,469	802,720	403,819	2,599,698	1,854,823	1,303,469	802,720	403,819	2,578,367	1,854,823
4.2	Other Fees and commissions	6,588,821	4,321,378	2,154,937	7,215,713	5,993,729	5,560,140	3,677,486	1,816,890	6,056,782	5,174,236
4.3	Foreign exchange trading income/(loss)	1,750,240	1,222,313	752,784	2,230,910	1,540,116	1,603,398	1,128,239	718,924	1,948,921	1,387,878
4.4	Dividend income	83,288	83,287	-	72,876	72,876	83,288	83,287	-	72,876	72,876
4.5	Other income	850,144	565,417	204,351	1,372,843	679,145	801,983	532,053	198,927	1,438,217	671,733
4.6	Total Non-Interest income	10,575,962	6,995,115	3,515,892	13,492,040	10,140,690	9,352,277	6,223,784	3,138,560	12,095,163	9,161,546
5.0	TOTAL OPERATING INCOME	32,319,302	21,809,026	10,925,395	41,596,009	30,909,708	30,797,902	20,850,173	10,459,676	39,956,131	29,794,204
6.0	OTHER OPERATING EXPENSES										
6.1	Loan loss provision	1,272,602	1,093,122	762,843	3,601,252	2,562,065	1,200,000	1,050,000	750,000	3,547,235	2,545,000
6.2	Staff costs	8,109,470	5,343,888	2,636,866	10,100,351	7,224,041	7,740,996	5,102,297	2,517,121	9,614,810	6,894,296
6.3	Directors' emoluments	119,869	88,272	19,918	180,790	103,759	89,031	63,875	8,073	129,422	71,955
6.4	Rentals charges	1,280,814	850,524	422,282	1,518,200	1,119,352	1,192,962	790,104	392,888	1,395,356	1,044,667
6.5	Depreciation charge on property and equipment	1,238,152	846,584	423,068	1,951,040	1,338,472	1,225,215	840,421	419,935	1,786,069	1,328,221
6.6	Armortisation charges	397,657	271,301	134,554	549,914	379,141	397,221	263,428	130,821	499,937	367,331
6.7	Other operating expenses	5,387,039	3,480,824	1,698,691	7,425,728	4,544,086	5,073,229	3,294,515	1,613,925	6,481,120	4,327,078
6.8	Total other operating expenses	17,805,603	11,974,515	6,098,223	25,327,275	17,270,916	16,918,653	11,404,640	5,832,764	23,453,950	16,578,549
7	Profit/(Loss) before tax and exceptional items	14,513,698	9,834,512	4,827,172	16,268,734	13,638,792	13,879,249	9,445,532	4,626,912	16,502,181	13,215,655
8	Exceptional items-Early Retirement Costs	-	-	-	-	-	-	-	-	-	-
8	Exceptional items-Share of profit of associate	131,948	141,326	70,949	129,904	99,093	-	-	-	-	-
9	Profit/(Loss) before tax	14,645,646	9,975,837	4,898,121	16,398,638	13,737,886	13,879,249	9,445,532	4,626,912	16,502,181	13,215,655
10	Current tax	4,331,710	2,814,410	1,449,855	5,062,299	4,201,626	4,163,775	2,730,001	1,388,074	4,884,784	4,083,751
11	Deferred tax	-	-	-	(68,726)	-	-	-	-	(18,134)	-
12	Profit/(loss) after tax and exceptional items	10,313,936	7,161,427	3,448,266	11,405,065	9,536,259	9,715,474	6,715,532	3,238,838	11,635,530	9,131,904
13.0	OTHER COMPREHENSIVE INCOME:										
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	(379,188)	(153,107)	204,346	512,969	(423,177)	856,245	1,167,033	208,346	463,219	687,380
13.3	Revaluation Surplus on property, Plant and Equipment	-	-	-	-	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	(49,758)	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	(379,188)	(153,107)	204,346	463,211	(423,177)	856,245	1,167,033	208,346	463,219	687,380
15	TOTAL COMPREHENSIVE INCOME	9,934,749	7,008,321	3,652,613	11,868,276	9,113,082	10,571,719	7,882,565	3,447,185	12,098,749	9,819,284
	Basic Earnings per share	1.76	1.22	0.59	1.99	1.63	1.66	1.14	0.55	1.98	1.56
	Diluted Earnings per share	1.76	1.22	0.59	1.99	1.63	1.66	1.14	0.55	1.98	1.56
	Dividend per share	-	-	-	0.80	-	-	-	-	0.80	-

III	OTHER DISCLOSURES	30-Sep-18	30-Jun-18	GROUP		30-Sep-17	30-Sep-18	30-Jun-18	BANK		30-Sep-17
		KSHS. '000	KSHS. '000	31-Mar-18	31-Dec-17	KSHS. '000	KSHS. '000	KSHS. '000	31-Mar-18	31-Dec-17	KSHS. '000
		(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)	(Un-audited)
1	NON PERFORMING LOANS AND ADVANCES										
a)	Gross non-performing loans and advances	29,674,487	28,215,338	28,368,540	18,761,317	16,931,341	29,325,312	28,215,338	28,316,036	18,713,757	16,931,341
	Less	-	-	-	-	-	-	-	-	-	-
b)	Interest in suspense	998,180	861,331	767,444	948,481	897,372	982,534	861,331	764,297	948,481	897,372
c)	Total Non-performing loans and advances (a-b)	28,676,307	27,354,007	27,601,096	17,812,836	16,033,969	28,342,778	27,354,007	27,551,739	17,765,276	16,033,969
	Less	-	-	-	-	-	-	-	-	-	-
d)	Loan loss provisions	9,917,831	7,888,289	7,911,348	6,102,049	5,559,896	9,799,813	7,888,289	7,860,970	6,075,833	5,559,896
e)	Net Non performing loans (c-d)	18,758,476	19,465,718	19,689,748	11,710,787	10,474,073	18,542,965	19,465,718	19,690,769	11,689,443	10,474,073
f)	Discounted Value of Securities	15,009,173	13,431,086	14,375,631	7,762,660	7,762,660	14,318,237	13,431,086	14,300,697	7,762,660	5,874,076
g)	Net NPLs Exposure (e-f)	3,749,302	6,034,632	5,314,117	3,948,127	2,711,413	4,224,728	6,034,632	5,390,072	3,926,783	4,599,997
2	Insider loans and advances										
a)	Directors, shareholders and associates	2,305,155	2,141,814	1,874,459	1,710,045	1,749,423	2,305,155	2,141,814	1,874,459	1,710,045	1,749,423
b)	Employees	8,126,052	7,790,372	7,723,600	7,769,502	7,649,814	8,126,052	7,790,372	7,723,600	7,769,502	7,649,814
c)	Total insider loans, advances and other facilities	10,431,207	9,932,186	9,598,059	9,479,547	9,399,237	10,431,207	9,932,186	9,598,059	9,479,547	9,399,237
3	Off-Balance Sheet Items										
a)	Letters of credit, guarantees, acceptances	12,849,027	14,677,898	18,114,375	17,455,140	18,408,462	12,849,027	14,677,898	18,114,375	17,455,140	18,408,462
b)	Forwards, swaps and options	13,649,707	20,246,519	19,150,703	16,999,006	19,160,579	13,649,707	20,246,519	19,150,703	16,999,006	19,160,579
c)	Other contingent liabilities	-	-	-	-	-	-	-	-	-	-
d)	Total contingent liabilities	26,498,734	34,924,418	37,265,077	34,454,145	37,569,041	26,498,734	34,924,418	37,265,077	34,454,145	37,569,041
	Capital strength										
a)	Core capital	61,236,359	59,555,003	57,858,683	56,873,853	57,427,964	59,765,020	58,269,668	56,532,852	58,859,134	56,336,807
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/(deficiency)	60,236,359	58,555,003	56,858,683	55,873,853	56,427,964	58,765,020	57,269,668	55,532,852	57,859,134	55,336,807
d)	Supplementary capital	310,420	306,823	306,823	22,188,481	24,027,324	306,823	306,823	306,823	22,188,481	24,027,324
e)	Total capital (a-d)	60,546,779	58,861,826	58,165,506	79,062,334	81,455,288	60,071,843	58,576,491	56,839,675	81,047,615	80,364,131
f)	Total risk weighted assets	371,096,943	374,038,036	354,973,671	359,980,732	360,148,745	367,782,969	370,855,009	352,500,442	357,310,063	360,913,526
g)	Core capital/total deposit liabilities	20.6%	20.0%	19.5%	20.0%	19.8%	20.2%	19.7%	19.1%	20.8%	19.5%
h)	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i)	Excess/(deficiency)	12.6%	12.0%	11.5%	12.0%	11.8%	12.2%	11.7%	11.1%	12.8%	11.5%
j)	Core capital/total risk weighted assets	16.5%	15.9%	16.3%	15.8%	15.9%	16.3%	15.7%	16.0%	16.5%	15.6%
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l)	Excess/(deficiency)(j-k)	6.0%	5.4%	5.8%	5.3%	5.4%	5.8%	5.2%	5.5%	6.0%	5.1%
m)	Total capital/total risk weighted assets	16.6%	16.0%	16.4%	22.0%	22.6%	16.3%	15.8%	16.1%	22.7%	22.3%
n)	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o)	Excess/(deficiency)(m-n)	2.1%	1.5%	1.9%	7.5%	8.1%	1.8%	1.3%	1.6%	8.2%	7.8%
p)	Adjusted Core Capital/Total Deposit Liabilities	21.6%	21.0%	20.6%			21.3%	20.8%	20.2%		
q)	Adjusted Core Capital/Total Risk Weighted Assets	17.3%	16.8%	17.2%			17.1%	16.6%	16.9%		
r)	Adjusted Total Capital/Total Risk Weighted Assets	17.4%	16.9%	17.3%			17.2%	16.7%	17.0%		
5	Liquidity										
a)	Liquidity Ratio	41.7%	37.7%	38.7%	33.8%	35.0%	40.7%	36.9%	38.4%	33.5%	34.2%
b)	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c)	Excess/(deficiency)(a-b)	21.7%	17.7%	18.7%	13.8%	15.0%	20.7%	16.9%	18.4%	13.5%	14.2%
The financial statements were approved by the Directors on 14th November 2018 and signed on its behalf by:											
Signed: J. Murugu, OGW Chairman		Signed:		Dr. G. Muriuki, CBS Group Managing Director & CEO							

CO-OPERATIVE BANK OF KENYA LIMITED
SUMMARY STATEMENT OF CHANGES IN EQUITY

	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserve KShs'000	Statutory Reserve KShs'000	Fair Value Reserve KShs'000	Foreign Currency Translation Reserve KShs'000	Proposed Dividends KShs'000	Retained Earnings KShs'000	Attributable to equity holder of the parent KShs'000	Non-Controlling Interest KShs'000	Total Equity KShs'000
Balance at 1 January 2018	5,867,180	1,911,926	1,296,499	718,617	(733,149)	-	4,693,744	55,329,786	69,084,603	727,983	69,812,586
Total comprehensive income	-	-	-	-	-	-	-	10,313,936	10,313,936	87,021	10,400,957
Profit for the year	-	-	-	-	-	-	-	-	-	-	-
Other comprehensive income	-	-	(54,818)	-	(367,987)	-	-	-	(422,805)	-	(422,805)
Realisation of revaluation surplus	-	-	-	-	-	-	-	-	-	-	-
Net movement in revenue grants	-	-	-	-	-	-	-	(3,862,120)	(3,862,120)	-	(3,862,120)
2017- Dividends paid	-	-	-	-	-	-	(4,693,744)	-	(4,693,744)	-	(4,693,744)
Transfers to/from statutory reserve	-	-	-	(718,617)	-	-	-	718,617	-	-	-
Balance at 30 September 2018	5,867,180	1,911,926	1,241,681	-	(1,101,136)	-	-	62,500,219	70,419,870	815,004	71,234,874

CO-OPERATIVE BANK OF KENYA LIMITED
SUMMARY STATEMENT OF CASHFLOWS

	Unaudited	Audited	Unaudited
	30-Sept-2018	31-Dec-2017	30-Sept-2017
	<u>KShs'000</u>	<u>KShs'000</u>	<u>KShs'000</u>
Net cash flows from operating activities	7,344,268	6,068,852	7,584,743
Net cash flows used in investing activities	(2,904,597)	(8,327,432)	(2,947,308)
Net cash flows from financing activities	931,817	2,003,250	(1,426,739)
Net (decrease)/increase in cash and cash equivalents	5,371,489	(255,330)	3,210,695
Cash and cash equivalents at 1 January	16,381,622	16,636,952	16,636,952
Cash and cash equivalents at 30 September	21,753,111	16,381,622	19,847,647